INVESTMENT COMMITTEE MEMO // EXECUTIVE BRIEFING

TSMC (TSM)

The Global Silicon Tollbooth

Institutional underwriting, forensic SEC statement audit, and cross-asset portfolio allocation protocol for the world's monopolistic semiconductor foundry.

PRIMARY VERDICT	TARGET SIZING	CONSERVATIVE FAIR VALUE	12M TARGET / RETURN
Conditional Accumulate	**7.0% Portfolio ($7,000)**	**$445.00** (Mkt $478.20)	**$560.00 (+22.6%)**

1. Executive Verdict & Portfolio Sizing

Institutional capital commitment framework and valuation parameters

DADAIC INVESTMENT FIRM

MARKET PRICE	CONSERVATIVE INTRINSIC VALUE	MARGIN-OF-SAFETY ENTRY RANGE	12M BASE CASE TARGET
$478.20	**$445.00**	**$415 – $448**	**$560.00**
Market Cap: ~$2.48 Trillion	Buffett-discounted DCF base	50-day SMA support & limit shelf	+22.6% return from target entry

Official Committee Mandate

APPROVED: CONDITIONAL ACCUMULATE

- **Mandatory Tranche Discipline:** TSMC's monopolistic moat and secular AI tailwinds warrant initiating exposure, but trading at $478.20 leaves zero margin of safety against macro rate shocks or geopolitical headlines.
- **Allocated Weight:** Exactly **7.0% ($7,000)** of the total $100,000 portfolio, funded entirely out of existing cash reserves ($20,000 → $13,000).
- **Preserving Cash Ballast:** Leaves **13.0% ($13,000)** in liquid dry powder for downside volatility. Existing holdings (AAPL, MSFT, VOO) remain untouched.

Staged Execution Strategy

2-TRANCHE DEPLOYMENT

TRANCHE	WEIGHT / CAPITAL	TARGET LEVEL	STRATEGIC PURPOSE
Tranche 1	3.5% ($3,500 / ~7 sh)	$478.20 (Market)	Guarantees participation in AI accelerator super-cycle.
Tranche 2	3.5% ($3,500 / ~8 sh)	$438.00 (Limit)	Capitalizes on 50-day SMA pullback and margin of safety.
Stop-Loss	Full Exit (100%)	$385.00	Breaks 200-day SMA & secular technical trend (-15.7% risk).

Target Blended Entry: ~$456.80 • **Risk/Reward Ratio:** 1 : 2.25 (Reward: +$103.20 vs. Risk: -$71.80).

2. The Great Masters' Consensus Matrix & Reconciliation

Multi-disciplinary underwriting through the lenses of history's premier capital allocators

PHILOSOPHICAL ARBITRATION

Warren Buffett // Quality & Moat

HOLD & SELECTIVE ACCUMULATE

"One of the best-managed and most important companies in the world, but geographic concentration requires caution."

- **Conviction:** Irreplaceable global tollbooth; culture of integrity and customer trust under C.C. Wei.
- **Red Flag:** Massive capital intensity ($60B-$64B capex); zero margin of safety at all-time highs; Taiwan geopolitical concentration (echoing Berkshire's 2023 exit).

Peter Lynch // Growth & Valuation

HIGH CONVICTION BUY (PEG < 1.0)

"Selling shovels to every AI miner in the gold rush. A textbook Fast Grower at an attractive PEG."

- **Conviction:** Forward PEG is **0.84** (Forward P/E 23.5x / 3Y EPS CAGR 28.0%), substantially below the 1.0 fair-value threshold.
- **Grassroots Reality:** 100% of frontier AI chips (Nvidia, AMD, Apple, Google, Amazon) are fabbed at TSMC. Zero viable commercial substitutes.

Charlie Munger // Inversion & ROIC

ELITE TOLLBOOTH COMPOUNDER

"A marvel of engineering discipline combining physics mastery with immense pricing power."

- **Conviction:** Lollapalooza moat (EUV + CoWoS + OIP ecosystem); ROIC >34% despite $60B annual reinvestment; customers absorb price hikes easily.
- **Inversion:** Naval blockade stops global computing; Arizona fab unit costs run 30-50% higher, threatening long-term margins if subsidies wane.

Market Technician // Price Architecture

BULLISH TREND / STAGED PULLBACK

"Strong secular trend, but daily RSI is overbought; optimal asymmetric risk/reward awaits pullbacks."

- **Structure:** Golden Cross intact; clean bullish MA stacking (Price > 20 EMA > 50 SMA > 200 SMA).
- **Tactical Setup:** 14-day RSI at **71.8** warns of short-term consolidation; buying 50-day SMA ($425-$445) elevates Risk-to-Reward to 1 : 2.25.

🏛️ **CIO Conflict Reconciliation**

Lynch views a 0.84 PEG for a global monopoly as an urgent, aggressive buy. Buffett and Munger urge caution regarding Taiwan risk and lack of a 20% margin of safety at all-time highs. The Committee bridges this divide by splitting deployment: 3.5% immediately prevents FOMO on earnings beats, while 3.5% placed at the 50-day SMA ($438) enforces institutional margin of safety.

3. Forensic Financial Health & True Cash Flow Audit

SEC Form 20-F forensic examination, DuPont ROE decomposition, and true cash generation

FINANCIAL FORENSICS

Q2 2026 REVENUE
$40.20B
+33.7% YoY / +12.0% QoQ

GROSS MARGIN
67.7%
+220 bps beat vs guidance

OPERATING MARGIN
60.3%
Foundry industry peak

NET CASH POSITION
+$40.6B
Cash $72.4B vs Debt $31.8B

DuPont ROE Decomposition (38.2%)

EXCEPTIONAL EARNINGS QUALITY

COMPONENT	FORMULA METRIC	REPORTED VALUE	FORENSIC INTERPRETATION
Tax & Operating Burden	Net Profit Margin	**44.8%**	Extraordinary pricing power; commands premium wafer pricing.
Asset Efficiency	Asset Turnover	**0.68x**	Reflects massive capital assets ($180B+ gross PPE).
Financial Leverage	Assets / Equity	**1.25x**	Minimal financial risk. ROE is NOT fueled by debt leverage.

Audit Verdict: TSMC's 38.2% ROE is an authentic reflection of high profit margins and monopoly pricing, rather than aggressive financial engineering.

True FCF Reconciliation (Net of SBC)

REINVESTMENT ENGINE

CASH FLOW METRIC	TTM ($B)	Q2 2026 ($B)	ANALYTICAL NOTES
GAAP Operating Cash Flow	$88.5B	$22.8B	Strong customer prepayments and operational scale.
Less: Capital Expenditures (Capex)	-$58.0B	-$15.2B	FY2026 budget raised to $60B-$64B (N2 & CoWoS ramp).
Less: Stock-Based Compensation (SBC)	-$1.4B	-$0.35B	Dilution is <1.2% of sales; negligible per-share drag.
Authentic True FCF	**$29.1B**	**$7.25B**	**Generates positive FCF despite $60B+ Capex!**

Capex as a Moat: While high capex limits short-term FCF yield, no competitor on earth can deploy $60B+ annually without going bankrupt.

4. Competitive Moat Architecture & Market Share Defense

Global foundry share consolidation, advanced packaging monopoly, and technological chokepoints

COMPETITIVE INTELLIGENCE

Global Pure-Play Foundry Market Share (Q2 2026)

73% DOMINANCE

FOUNDRY	MARKET SHARE	GROSS MARGIN	OPERATING STATUS
TSMC (TSM)	73.0%	67.7%	Monopoly in sub-3nm nodes & CoWoS packaging.
Samsung Foundry	6.0%	~28.0%	Struggling with 2nm GAA yield consistency.
SMIC	5.0%	19.5%	Constrained by DUV multi-patterning cost curve.
UMC	4.0%	31.5%	Focuses on legacy 28nm/22nm specialty analog.
Intel Foundry (IFS)	<1.0% (ext.)	Negative	18A ramp remains largely captive/internal.

Sub-3nm Monopoly: In advanced nodes (3nm & 2nm), TSMC controls over **92% of global volume**. Fabless chip designers have no viable alternative.

Triple-Lock Moat Architecture

UNASSAILABLE CHOKEPOINT

- **1. CoWoS Advanced Packaging Chokepoint:**
  Modern AI accelerators (Nvidia Blackwell, AMD MI350, Google TPU v6) cannot function without 2.5D/3D interposer packaging. TSMC is the only supplier with commercial high-yield CoWoS capacity.
- **2. Open Innovation Platform (OIP) Lock-In:**
  45,000+ validated silicon IP blocks with Synopsys, Cadence, and ARM are configured exclusively for TSMC design rules. Switching foundries costs $300M-$800M and 2 years of lost product cycles.
- **3. Continuous Customer Co-Financing:**
  Customers like Apple and Nvidia prepay billions in wafer advance commitments to secure leading-edge capacity, de-risking TSMC's massive fab buildouts.

5. Macro Stress Simulation & Factor Hedging

Portfolio factor diagnostics, false diversification audits, and multi-scenario MDD modeling

PORTFOLIO DIAGNOSTICS

Macro Stress Simulation Matrix (3 Stress Scenarios)

MDD STRESS TESTS

STRESS SCENARIO	PROBABILITY	TSM DRAWDOWN	TOTAL PORTFOLIO MDD	FRAGILITY VECTOR & DEFENSE
A: Bear Steepener (10Y > 5.5%)	25%	-11.5%	**-14.8%**	Protected by reasonable 23.5x P/E; 13% cash buffer acts as dry powder.
B: AI Capex Digestion Pause	20%	-26.0%	**-22.5%**	Cushioned by Apple iPhone 3nm volume and non-AI consumer/auto revenues.
C: Taiwan Strait Crisis / Blockade	10%	-65.0%	**-38.2%**	Capped at 7% position size; preserved 13% cash ensures total portfolio survival.

Stress Verdict: Restricting TSM to a 7.0% allocation prevents systemic portfolio ruin even under the catastrophic tail risk of a Taiwan geopolitical conflict.

False Diversification Audit (`my-portfolio.yaml`)

FACTOR CONCENTRATION ALERT

- **Apple (AAPL, 25% weight):**
  Apple is TSMC's single largest customer (~22% of revenue). An issue at TSMC immediately cripples Apple's iPhone and Mac product lines.
- **Microsoft (MSFT, 25% weight):**
  Procures tens of billions in Nvidia GPUs and custom Maia chips made at TSMC. Highly co-dependent on TSMC's packaging output.
- **S&P 500 ETF (VOO, 30% weight):**
  Holds ~12% in semiconductor and fabless tech giants that fabricate exclusively at TSMC.

CIO Directive: Do NOT exceed 7.0% allocation. The existing portfolio is already deeply levered to the TSMC manufacturing chokepoint.

6. Tactical Execution Blueprint & Non-Negotiable Exit Trigger

Target portfolio rebalancing matrix, staged limit orders, and thesis invalidation rule

TACTICAL EXECUTION

Portfolio Rebalancing Matrix ($100,000 Total Value)

REBALANCING PLAN

TICKER	CURRENT WT	TARGET WT	ACTION	CAPITAL FLOW	STRATEGIC PURPOSE
TSM	0.0%	7.0%	**Initiate (2 Tranches)**	+$7,000	Global foundry monopoly and AI infrastructure core.
AAPL	25.0%	25.0%	Hold	$0	Ecosystem cash-flow fortress & buyback compounding.
MSFT	25.0%	25.0%	Hold	$0	Enterprise cloud & generative AI monetization.
VOO	30.0%	30.0%	Hold	$0	Broad-market baseline ballast.
Cash	20.0%	13.0%	Deploy into TSM	-$7,000	Retains $13,000 dry powder for downside buffer.

TRANCHE 1 (MKT)	TRANCHE 2 (LIMIT)	STOP-LOSS
$478.20 (3.5%)	**$438.00 (3.5%)**	**$385.00 (Hard)**

The Non-Negotiable Invalidation Trigger

100% EXIT DIRECTIVE

Regardless of short-term price fluctuations, Wall Street upgrades, or AI euphoria, this position will be **liquidated immediately in full (100% exit)** if:

> **"A direct military blockade, maritime interdiction, or physical kinetic conflict erupts across the Taiwan Strait disrupting TSMC's western Taiwan fab corridor, OR TSMC's blended global pure-play foundry market share drops below 60.0% for two consecutive quarters due to successful commercial yield breakthroughs by Samsung Foundry or Intel IFS."**

CIO Execution Sign-off: Preserving capital strictly supersedes seeking speculative returns. No hesitation is permitted if this condition triggers.